METHODOLOGY DOCUMENT
MSCI SUSTAINABILITY AND CLIMATE

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MSCI ESG Ratings Methodology: Carbon Emissions Key Issue

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Introduction

This document provides essential information on the components of the Carbon Emissions Key Issue to enable users of ESG Ratings to understand how MSCI Sustainability & Climate's (MSCI S&C's)[1] outputs are determined. Carbon Emissions is a Key Issue in the Environmental Pillar of the MSCI ESG Ratings model. Companies are evaluated on the carbon intensity of their operations and their efforts to manage climate-related risks and opportunities.

For additional details on the MSCI ESG Ratings Model, refer to the Data, ratings and scores section of "ESG Ratings Methodology."

Exhibit 1: MSCI ESG Key Issue hierarchy

3 Pillars	10 Themes	33 ESG Key Issues
Environment	Climate Change	Carbon Emissions
		Climate Change Vulnerability
		Financing Environmental Impact
		Product Carbon Footprint
	Natural Capital	Biodiversity & Land Use
		Raw Material Sourcing
		Water Stress
	Pollution & Waste	Electronic Waste
		Packaging Material & Waste
		Toxic Emissions & Waste
	Environmental Opportunities	Opportunities in Clean Tech
		Opportunities in Green Building
		Opportunities in Renewable Energy
Social	Human Capital	Health & Safety
		Human Capital Development
		Labor Management
		Supply Chain Labor Standards
	Product Liability	Chemical Safety
		Consumer Financial Protection
		Privacy & Data Security
		Product Safety & Quality
		Responsible Investment
	Stakeholder Opposition	Community Relations
		Controversial Sourcing
	Social Opportunities	Access to Finance
		Access to Health Care

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3 Pillars	10 Themes	33 ESG Key Issues
		Opportunities in Nutrition & Health
Governance	Corporate Governance	Board
		Pay
		Ownership & Control
		Accounting
	Corporate Behavior	Business Ethics
		Tax Transparency

Risks associated with this Key Issue

- Increased costs linked to carbon pricing or trading.
- Facility retrofit costs or operational disruptions due to regulatory caps.

Carbon Emissions Key Issue score

The Carbon Emissions Key Issue score evaluates the company's level of exposure to, and management of risks on this Key Issue. The Key Issue score is based on the Exposure score and the Management score using the formula below. The Exposure score and the Management score are combined such that a higher level of exposure requires a higher level of demonstrated management capability in order to achieve the same overall Key Issue score.

$$KI_i = 7 - (\max(EXP_i, 2) - MGMT_i)$$

Where:

- KI_i is the Key Issue score for company i.
- EXP_i is the Exposure score for company i.
- $MGMT_i$is the Management score for company i.

Carbon Emissions Management framework

The table below outlines the indicators mapped to their respective components that inform the Carbon Emissions Management score, excluding controversies. MSCI S&C assigns each indicator a default weight. Indicator weights may be adjusted at the company level to reflect the relevance of the indicator to the company's business activities. If a company has no exposure to the business activities covered by an indicator, the indicator is assigned a weight of zero.

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Component	Sustainability Indicator
Carbon Emissions Mitigation score	Use of cleaner sources of energy
	Efforts to capture GHG emissions
	Efforts to reduce customer energy consumption (demand-side management)
	Energy Consumption Management & Operational Efficiency
	Other efforts to reduce carbon emissions
Carbon Emissions Targets score	Carbon emissions target comprehensiveness
	Carbon emissions target progress
	Carbon emissions target verification
Carbon Emissions Performance score	Carbon emissions performance relative to peers

Carbon Emissions Management score

The Carbon Emissions Management score evaluates the company's ability to manage its exposure to risks on this Key Issue. It is based on weighted average of the scores associated with each of the relevant indicator, modified by controversies.

This score is derived from indicators that are scored on a 0-10 scale, with 10 corresponding to best practice. Refer to the Analyzing risk management section of "ESG Ratings Methodology" for additional details. Sources are company disclosures except where otherwise indicated.

The following formula is used to calculate the Carbon Emissions Management score - Excluding Controversies:

$$MGMT_i = \sum Indicator_Score_{j,i} * Indicator_Weight_{j,i}$$

Where:

- $MGMT_i$ is the Management score - Excluding Controversies for company i.
- $Indicator_Score_{j,i}$ is the score of indicator j for company i.
- $Indicator_Weight_{j,i}$ is the weight of indicator j for company i.

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The following formula is used to calculate the scores for the components

$$COMP_{c,i} = \sum_{j \in c} Indicator_Score_{j,i} * Indicator_Weight_Scaled_{j,i}$$

Where:

- $COMP_{c,i}$ is the component score for component c, for company i.
- $Indicator_Score_{j,i}$ is the score of indicator j for company i.
- $Indicator_Weight_Scaled_{j,i}$ is the scaled weight of indicator j for company i.
- $j \in c$ indicates that the summation is over all indicators belonging to component c.

The following formula is used to calculate the weights for the components

$$COMP_Weight_{c,i} = \sum_{j \in c} Indicator_Weight_{j,i}$$

Where:

- $COMP_Weight_{c,i}$ is the component weight for component c for company i.
- $Indicator_Weight_{j,i}$ is the weight of indicator j for company i.
- $j \in c$ indicates that the summation is over all indicators belonging to component c.

The definitions of the data points in each component are given below:

Carbon Emissions Mitigation score

The Carbon Emissions Mitigation score evaluates the company's ability to manage and reduce carbon emissions through mitigation measures, including energy efficiency, cleaner energy use, carbon capture, demand-side management and other reduction efforts. Highest performance reflects aggressive, comprehensive programs across operations and value chain. It is expressed as a 0–10 score, where 10 indicates strong initiatives.

- **Use of cleaner sources of energy.**

Definition: Assesses how aggressively the company has sought to mitigate its carbon emissions through the use of cleaner sources of energy such as solar, wind, geothermal, co-generation, or natural gas in place of oil or coal.

- **Efforts to capture GHG emissions.**

Definition: Assesses the aggressiveness of a company's efforts to use greenhouse gas (GHG) capture and storage/sequestration of its operational emissions.

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- **Energy Consumption Management & Operational Efficiency**

Definition: This data point indicates our assessment of how aggressively the company has sought to mitigate its carbon emissions by managing energy consumption and improving the energy efficiency of its operations. Possible values are: 'Aggressive efforts' (best); 'Some efforts'; 'Limited efforts/information'; 'No efforts' (worst)

- **Efforts to reduce customer energy consumption (demand-side management)**

Definition: Indicates MSCI ESG Research's assessment of the aggressiveness of a company's efforts to reduce future energy consumption through energy efficiency or demand response programs. This indicator is specifically relevant for energy companies and utilities.

- **Other efforts to reduce carbon emissions.**

Definition: Assesses how aggressively the company has sought to mitigate its operational and/or value chain carbon emissions through other efforts (including purchasing carbon offsets, but excluding energy efficiency, clean energy use, carbon capture or demand-side management). The assessment is based on industry-specific criteria.

Carbon Emissions Targets score

The Carbon Emissions Targets score evaluates the company's initiatives to set, pursue, and verify carbon emissions targets. Highest initiatives reflect comprehensive, independently verified targets with strong progress toward achievement. It is expressed as a 0–10 score, where 10 indicates strong initiatives.

- **Carbon emissions target comprehensiveness**

Definition: Assesses the extent to which the company has established quantitative climate targets that are comprehensive in scope and complete in coverage. Expressed as a 0-10 score, with 10 indicating comprehensive targets.

  - **Carbon emissions target footprint coverage (%)**
    Definition: Assesses the extent to which the company's emission reduction targets cover its total reported emissions. Expressed as a 0–10 score, where 10 indicates that the targets comprehensively cover all relevant emissions.

  - **Carbon emissions target relevant scope score**
    Definition: Assesses whether the company's emission reduction targets include all financially material scopes. Expressed as a 0–10 score, where 10 indicates full coverage of financially material emission scopes.

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- **Carbon emissions target progress**

Definition: Assesses the company's progress toward active environmental targets, as well as its historical track record in meeting previously stated targets. Expressed as a 0-10 score, with 10 indicating strong progress towards targets

  - **Carbon emissions ongoing target progress**
    Definition: Assesses the company's progress toward achieving its emission reduction targets based on current performance. Expressed as a 0–10 score, where 10 all its targets are on track to meet stated targets.

  - **Carbon emissions target track record**
    Definition: Assesses the company's historical performance in achieving or maintaining sustainability or environmental targets. Expressed as a 0–10 score, where 10 indicates strong performance.

- **Carbon emissions target verification**

Definition: Assesses whether the company's disclosed targets are supported by the Science Based Targets initiative (SBTi), where applicable. Expressed as either NULL or 10 score, with 10 indicating presence of verification.

  - **SBTi long-term target status**
    Definition: Indicates the status of the company's Science Based Targets initiative (SBTi) long-term target, aligned with net-zero or long-term decarbonization goals.

  - **SBTi near-term target status**
    Definition: Indicates the status of the company's Science Based Targets initiative (SBTi) near-term target, aligned with short- to medium-term emissions reduction goals.

Carbon Emissions Performance score

The Carbon Emissions Performance score evaluates the company's performance on carbon emissions metrics (including greenhouse gas emissions intensity), relative to its peers. It is expressed as a 0–10 score, where 10 indicates strong performance.

- **Carbon emissions performance relative to peers.**

Definition: Assesses the company's performance on greenhouse gas [GHG] emissions intensity (normalized by sales or by units of production), and trend in GHG emissions intensity, relative to its peers. Expressed as a 0-10 score, where 10 indicates strong performance.

  - **Carbon emissions intensity industry relative score**

  Definition: Assesses the company's performance on greenhouse gas [GHG] emissions intensity (normalized by sales or by units of production), relative to its peers. Expressed as a 0-10 score, where 10 indicates strong performance.

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- **Three-year average carbon emissions intensity (sales based)**
  Definition: Measures the company's three-year average greenhouse-gas emissions per unit of sales over the defined period.

- **Three-year average carbon emissions intensity (production based)**
  Definition: Measures the company's three-year average greenhouse-gas emissions per unit production (megawatt-hour generated, or ton cement produced or revenue passenger kilometer, based on industry).

- **Carbon emissions intensity industry relative trend score**

Definition: Assesses the company's performance on the three-year average of year-over-year carbon-emissions intensity trend (normalized by sales or by units of production), relative to its peers. Expressed as a 0–10 score, where 10 indicates strong performance.

- **Three-year average year-over-year carbon emissions intensity trend (sales based)**
  Definition: Measures the company's three-year average of year-over-year greenhouse-gas emissions (per unit of sales) trend.

- **Three-year average year-over-year carbon emissions intensity trend (production based)**
  Definition: Measures the company's three-year average year-over-year greenhouse-gas emissions per unit production (megawatt-hour generated, or ton cement produced or revenue passenger kilometer based on industry) trend.

Sources: Company disclosures, CDP

Carbon Emissions Exposure score

The Carbon Emissions Exposure score evaluates the company's exposure to risks on this Key Issue. It is based on the Business and Geographic Exposure scores. The Geographic Exposure score functions as a multiplier on the Business Exposure score, with an impact ranging from -50% to +50%. The Business and Geographic Exposure scores are scored on a 0-10 scale, with 10 corresponding to the highest risk and 0 corresponding to the lowest risk. Refer to Section 3.2, Analyzing risk exposure, of "ESG Ratings Methodology" for additional details. The following formula is used in the Exposure score calculation:

$$EXP_{CBN,i} = BUS_{CBN,i}(1 + 0.1(GEO_{CBN,i} - 5))$$

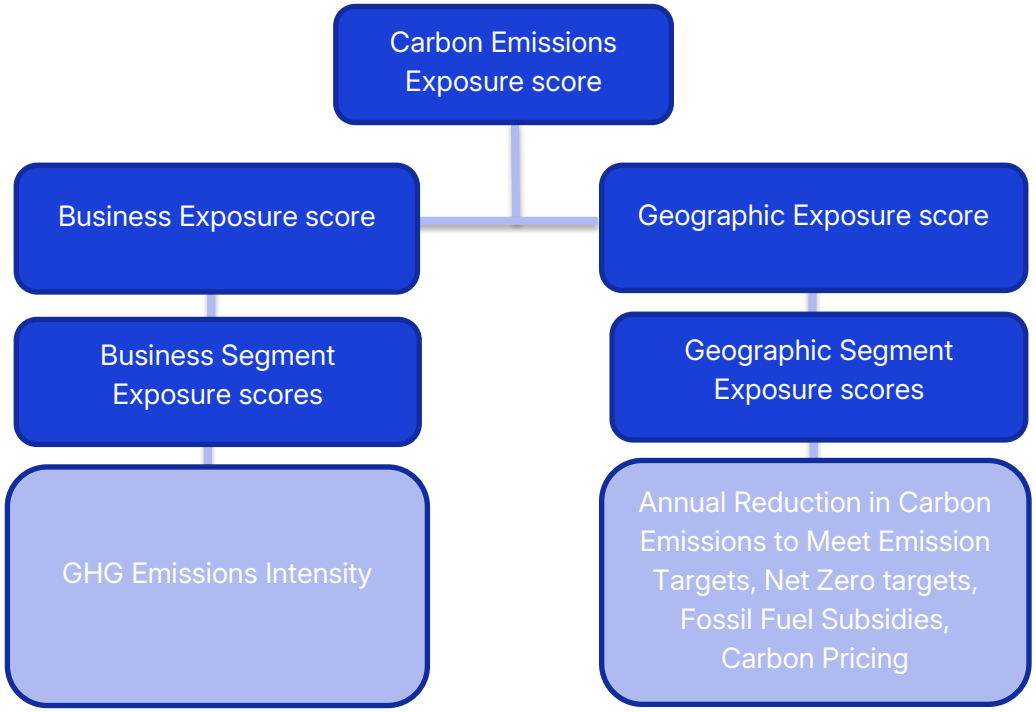
Where:

- $EXP_{CBN,i}$ is the Carbon Emissions Exposure score of company i.
- $BUS_{CBN,i}$ is the Business Exposure score of company i.

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- $GEO_{CBN,i}$ is the Geographic Exposure score of company i.

Exhibit 2: Exposure score components



Business Exposure score

The Business Exposure score is a weighted average of the Business Segment Exposure scores of a company's business segments. Scores are weighted by the proportion of a company's total assets in each business segment,[2] using the following formula to calculate the Business Exposure score:

$$BUS_{CBN,i} = \sum_{j=1}^{n_i} w_{Asset,i,j} BSE_{CBN,j}$$

Where:

- $BSE_{CBN,j}$ is the Business Segment Exposure score for the business segment j.

[2] The percentage of assets is typically calculated as the company-reported asset value of the segment divided by the total asset value. In certain cases, industry-specific metrics are used to calculate the percentage of assets, such as power generation, production volume or reserve value. In cases where neither segment assets nor a relevant industry-specific proxy is available, the percentage is calculated based on segment revenue.

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- $w_{Asset,i,j}$ is the weight of business segment j for company i based on the contribution to total company assets.
- n_i is the number of business segments of company i.

Business Segment Exposure scores

The Business Segment Exposure score of a business segment is based on a mapping of the business segment as disclosed by the company to a corresponding business activity. MSCI S&C uses the Standard Industrial Classification (SIC) system along with industry-specific adjustments to define business activities. The score associated with a business activity is used to calculate a Business Segment Exposure score. Each business activity score is determined by aggregating normalized Scope 1 and Scope 2 GHG emissions intensities to a business activity level.

$$BSE_{CBN,j} = EI_{j,S1+S2}$$

Where:

- $EI_{j,S1+S2}$ is the Emissions Intensity score for the business activity j aggregated from company-level data assessed by MSCI.

The **Emissions Intensity score** indicates the baseline risk faced by a business segment. For each SIC code, this score is calculated by considering the reported company level scopes 1 and 2 emissions.

To calculate the score:

1. For each SIC code, the median emissions intensity is computed using data from companies that have majority of their assets value from activities mapped to that SIC code.
    - Emissions intensity is expressed as metric tons of CO_2 equivalent ($mtCO_2e$) per million USD in sales.
2. If no company derives more than 50% of its revenue from the activities mapped to a specific SIC code, the calculation defaults to the next broader level in the SIC code hierarchy.
3. The resulting emissions intensity per business segment is then log-transformed and scaled to a 0–10 range, where higher scores indicate greater emissions intensity and baseline carbon emissions exposure.

For business activities related to electricity transmission and distribution (T&D) and power generation, the Business Segment Exposure score is derived by aggregating the emissions intensities of pure-play T&D companies as assessed by MSCI.

$$BSE_{CBN,j} = EI_{j,MSCI}$$

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Geographic Exposure score

The Geographic Exposure score is a weighted average of the Geographic Segment Exposure scores of the countries, markets and regions in which a company operates. scores are weighted by the proportion of a company's total assets in each geographic segment using the following equation:

$$GEO_{CBN,i} = \sum_{r=1}^{n_i} w_{Asset,i,r} GSE_{CBN,r}$$

Where:

- $GSE_{CBN,r}$ is the Geographic Segment Exposure score in region r.
- $w_{Asset,i,r}$ is the weight of total assets in region r for company i.
- n_i is the number of geographic segments for company i.

For geographic segments reported as regions (example: Asia Pacific), a nominal GDP-weighted country or market aggregation is used to calculate region-level scores, using the following equation:

$$GSE_{CBN,r} = \sum_{c=1}^{n_r} w_{GDP,r,c} GSE_{CBN,c}$$

Where:

- $GSE_{CBN,c}$ is the Geographic Segment Exposure score of country or market c.
- $w_{GDP,r,c}$ is the specific weight of country or market c within region r.

Geographic Segment Exposure scores

The Geographic Segment Exposure score for a country is determined by looking at the annual reduction in greenhouse gas emissions required to meet its publicly disclosed greenhouse gas emission targets.

$$GSE_{CBN,c} = Avg(NTA_c, LTA_c, GMM_c)$$

Where:

- NTA_c, is the near-term ambition score of country or market c.
- LTA_c is the long-term ambition score of country or market c.
- GMM_c is the government and market mechanisms score of country or market c.

The near-term ambition of a country is assessed by considering the annual emissions reduction rate needed to meet their publicly disclosed near-term climate targets. Countries or markets with aggressive near-term targets have high emissions reduction rates and therefore a higher policy pressure segment score.

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A country or market's long-term ambition indicates the strength and credibility of its long-term climate targets such as net-zero commitments. Long term targets could signal the direction of future policy and regulatory developments, even in the near term.

The government and market mechanisms score indicates the current strength of policy and market-based mechanisms signaling a government's commitment to driving the energy transition.

This score is calculated as the average of carbon pricing score and fossil fuel subsidies score.

$$GMM_c = Avg\ (\ CPM, FFS)$$

Where

- CPM is the Carbon Pricing Mechanisms score
- FFS is the Fossil Fuel Subsidies score.

Carbon pricing mechanisms score indicates mechanisms such as carbon taxes or emissions trading systems that exert policy pressure on companies by assigning a direct cost to carbon emissions.

The fossil fuel subsidies score indicates the degree of financial support for fossil fuel consumption. Lower subsidies (higher scores) increase transition pressure by removing cost advantages, whereas high subsidies (lower scores) signal continued alignment with fossil fuel-based economic structures, thus reducing policy pressure

In the absence of evidence from data sources indicating that a country has near- or long-term emissions reduction targets or carbon pricing mechanisms in place, a score of 0 is assigned. In the absence of a country's fossil fuel subsidy information, a score of 5 is assigned.

Data sources

The following sources are used to determine the Carbon Emissions Exposure score:

Refinitiv; IMF Implied Mitigation Targets, Net Zero Tracker, Carbon Pricing Dashboard, IMF Fossil Fuel Subsidies Data, International Energy Agency (2020), Projected Costs of Generating Electricity 2020;; GHG emissions intensities compiled by MSCI S&C; company disclosures.

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